Session 2 — Need Cash? Look Inside Your Company

By the end of this session you must be able to name and explain the six common mistakes companies make in managing working capital (Kaiser & Young, HBR 2009), diagnose the incentive structure behind each one, and explain why receivables and payables must never be managed as a mirrored pair.

Plan

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1. Context: Why Working-Capital Discipline Matters

During boom years, cash was abundant enough that managers saw little point in wringing more of it out of working capital, especially if doing so might dent reported profits or sales growth. When capital and credit dry up, customers tighten belts and suppliers stop tolerating late payment, and cash becomes the binding constraint again. The article's central claim is that most companies have a lot of capital needlessly tied up in receivables and inventory, and that correcting six recurring mistakes can free enough cash to matter for survival. The common thread across all six, developed below, is that badly designed performance metrics and incentives — not bad luck — are what lock cash into the balance sheet.

2. Mistake 1: Managing to the Income Statement

> **The trap:** when managers are judged on income-statement performance alone, they have no incentive to avoid decisions that lock up cash in the balance sheet, because the cost that matters most here, the opportunity cost of the capital locked up in the balance sheet (extra inventory, receivables), is not captured by the income statement. Two different things must not be conflated: some inventory holding costs (e.g. storage fees) can be booked as accounting charges and do hit reported profit. What reported profit misses is the return the tied-up capital could have earned elsewhere.

2.1 The Purchasing Manager's Incentive Trap

Example: a purchasing manager judged on reported profit is offered a bulk discount that requires buying more supplies than needed. Since the opportunity cost of the capital tied up in the extra inventory is not captured by reported profit, the manager has no incentive to decline, even if the full cost of holding that inventory (storage charges plus the opportunity cost of the capital), once calculated, exceeds the gains from the lower price. Refusing the discount could even hurt the manager's own compensation, though it would be good for the company. Firms that hold managers accountable for balance sheets, not just profit, avoid this trap because managers are then pushed to explicitly compare all costs and gains.

2.2 The Receivables Trade-off: A Break-Even Logic

The same incentive logic applies to receivables. Shortening payment terms has a profit cost (lost sales, price concessions to customers) but also frees capital that can be redeployed at the firm's opportunity cost of capital. The rule is: accept the change in terms if the expected profit loss is smaller than the return you could earn on the capital freed up; reject it otherwise.

Example, metals refining firm (Japan): after a private-equity acquisition, salespeople began calling customers a week before payment was due, purely as a reminder (the same logic used when a firm reminds customers who pay late, customers who pay late by habit have no basis to be offended by a courtesy call). Receivables fell from 185 days to 45 days, freeing $115 million in capital and cutting capital costs by $8 million a year. Sales did decline, but the resulting margin loss was only about $3 million, a clear net win.

3. Mistake 2: Rewarding the Sales Force for Growth Alone

The trap: when sales compensation is tied only to unit or dollar sales, salespeople are pushed to book sales at any cost — granting long payment delays, avoiding pressure on late payers, and demanding oversized finished-goods inventory to avoid stock-outs. High receivables and high inventory both lock up cash.

A properly motivated sales force, by contrast, can free up significant cash — often without a full redesign of the compensation system, simply by making the sales team aware that there is more to a sale than booking the deal.

Case evidence: in the same metals refining company, the increased customer contact required by the new receivables policy incidentally surfaced early warning signs of customers' financial distress; at-risk customers were shifted to pay-on-delivery terms before they defaulted, cutting overdue/bad receivables from 12% of the total to under 0.5%, for nearly $3 million in annual cash gains. Separately, a global electrical component manufacturer selling into China blamed its long, low-quality receivables on "flexible" local payment norms; a task force found the real causes were incorrect price positioning (extended terms were disguised rebates) and wrong documentation delaying invoice collection. Fixing those processes converged payment terms on the industry standard and freed more than $10 million in cash for a $400 million-revenue business, with no loss of market share.

4. Mistake 3: Overemphasizing Quality in Production

The trap: when production managers are evaluated mainly on quality metrics (e.g., defect counts), quality control slows the production cycle and locks up capital in work-in-process (WIP) inventory — a cost that is worth incurring only if customers actually pay for the extra quality.

Case evidence: at a European drive-systems producer (~€1 billion revenue), bonuses for defect reduction and feature additions produced a manufacturing cycle nearly three times longer than competitors', while customers lacked the engineering sophistication to value — or pay for — the extra quality. Refocusing on cutting WIP inventory (rather than defending the price premium) freed €20 million in cash by shortening WIP by 20 days, even though cycle times stayed above industry average. Separately, an Italian food manufacturer aged roughly a quarter of its product line (12–24 months) for a price premium, but these lines had below-average returns because of the WIP tied up in the aging process; once management accepted that the quality edge was no longer defensible, a manufacturing redesign (including outsourcing) freed tens of millions of euros with an imperceptible quality change and negligible margin impact, and materially improved return on invested capital.

5. Mistake 4: Tying Receivables to Payables

5.1 Why the Two Relationships Are Independent

The trap: many companies mechanically link the terms they offer customers to the terms they receive from suppliers — tightening customer credit whenever a supplier tightens theirs. This assumes the customer relationship mirrors the supplier relationship, which is usually false: relative bargaining power, the nature of competition, industry structure, and switching costs differ across the two relationships and must be managed on their own terms.

A hamburger chain like McDonald's takes 30–45 days to pay its suppliers; this obviously does not mean it gives restaurant customers 45 days to pay for a meal — the two relationships operate under entirely different economics.

5.2 Case Evidence

Auto industry: excess capacity and low switching costs for car buyers push automakers to offer five-year, zero-down, zero-interest customer terms — but far higher switching costs on the supplier side mean carmakers cannot extract equivalent terms from suppliers (and forcing the issue could bankrupt those suppliers).

Hypothetical — machine tools company: a firm with loyal customers on 30-day terms sources heavily from one steel supplier, which unilaterally cuts its terms by 10 days, opening a $20 million cash hole. The firm mirrors the cut onto its own customers — but unlike with its supplier, it has no market power over customers, who shift to more attractive competitors: business drops 20% ($100M → $80M), costing $6 million in after-tax profit. The receivables tightening only captured $3.8 million; the $6 million profit hit means the firm lost cash in year one, and if the profit decline persisted, at a 10% cost of capital it would destroy $60 million in value — value that would never have been destroyed had the two relationships been managed independently.

French small-appliance manufacturer: the firm applied identical terms of trade to every counterparty. Analyzing both ends of its value chain revealed real differences in bargaining power — strong versus its own suppliers (as the largest global player in its segment), weak versus giant retail customers (Wal-Mart, Carrefour, Metro). After acquiring a distressed competitor, it renegotiated terms per segment, cutting customer payment terms by more than 20 days and extending its own supplier terms by about 8 days — putting €35 million back in the bank for a business with about €450 million in revenue.

6. Mistake 5: Applying Current and Quick Ratios

6.1 Definitions

Current ratio = Short-term assets (cash + inventory + debtors) ÷ Short-term liabilities (creditors + taxes + deferred dividends)
Quick ratio = (Short-term assets − Inventory) ÷ Short-term liabilities

where:

- Both ratios are used by bankers as creditworthiness indicators — a proxy for how much cash or cash-equivalent a company can call on to meet obligations.
- The quick ratio strips inventory out of short-term assets before dividing, on the logic that inventory is the least liquid current asset.

6.2 Why Optimizing These Ratios Destroys Value

The trap: a higher current ratio ("better" to a banker) is achieved by carrying higher receivables and inventory and lower payables — exactly the opposite of sound working-capital practice. The irony is that the more closely a company follows bankers' ratio guidance, the more likely it is to face a liquidity crisis. The quick ratio has some merit in discouraging high inventory, but it still encourages indiscriminately building up receivables. As long as credit is easy this does not cause a cash problem, but it becomes one the moment a credit crunch hits. Specialists in structured and leveraged finance therefore tend to ignore both ratios and focus on cash flow generation instead.

French consumer goods company: in 2001 its CEO proudly announced working capital had risen from €1 million to over €4 million, with the current ratio climbing from 110% to 200% and the quick ratio from 35% to 100%. The company declared insolvency six months later.

7. Mistake 6: Benchmarking Competitors

The trap: benchmarking a scoreboard of metrics against industry competitors breeds complacency once a company's numbers look good relative to industry norms — even when the whole industry is inefficient. The best companies benchmark radically, often looking outside their own industry.

Dell Computer (early 1990s): Michael Dell believed his company was already best-in-class among computer makers on key working-capital metrics (days of inventory, receivables, etc.) —

a consultants' report confirmed it had little to learn from peers. Comparing Dell instead against retailers showed his performance was not special after all, prompting a complete overhaul of the company's working-capital practices. Separately, the metals refining VP who traveled to Japan (Section 2.2) was initially told 185-day receivables and 3–4 months of finished-goods inventory were simply industry norms and to leave them alone. Pressing further, he realized the firm's product quality and reputation meant it did not need to follow those norms: he convinced customers to accept one month of inventory cover backed by penalties for late delivery, plus early-payment discounts — driving receivables from 185 to 45 days. Customers also turned out to be less price-sensitive than assumed, opening room for price increases of 3% to 52% across the product line, more than offsetting the early-payment discounts.

8. Building a Culture of Value

Motivating managers by numbers alone does not work: when a manager optimizes one performance indicator in isolation, the company almost always ends up destroying value elsewhere (this is the thread running through Mistakes 1–3). A better approach is a culture in which managers across functions engage in ongoing dialogue with each other, with suppliers and with customers about value creation, while leadership stays alert to managers gaming their metrics at the balance sheet's expense.

Toyota: Bowen and Spear's "Decoding the DNA of the Toyota Production System" (HBR, 1999) argues that just-in-time production is not a toolkit but a culture: workers are rewarded and guided to constantly experiment with their processes, ask questions and test hypotheses. Performance indicators still matter, but they are never followed blindly — the result is a participative culture in which every employee feels responsible for creating value.

9. Common Mistakes & Exam Traps

- Reflexively assuming that a change in supplier terms justifies a mirrored change in customer terms — the exam trap directly built into Mistake 4; always check whether the underlying bargaining power, competition and switching costs actually match on both sides.
- Assuming "higher current/quick ratio = healthier company" — both can be inflated through value-destructive means (excess receivables and inventory, thin payables).
- Evaluating a credit or quality decision using only the income-statement effect and forgetting the balance-sheet (cash) effect — the unifying trap behind Mistakes 1–3.
- Ignoring that receivables and payables are governed by different bargaining power, industry structure and switching costs even within the same firm — treating "our" credit terms as one uniform policy.
- Missing that nearly every mistake in this article traces back to the same root cause: a performance metric that rewards a manager for an action that destroys enterprise value. On any case question, first ask "what is this person's bonus tied to?"
- Believing "we're better than the industry average" is sufficient — Dell shows a company can be best-in-class within its industry and still leave huge cash on the table when benchmarked outside it.

10. Must Know Absolutely

Must know:
• Mistake 1: income-statement-only incentives ignore cash locked in inventory/receivables.
• Trade-off rule: change receivable terms only if the expected profit loss is smaller than the return on the capital freed.
• Mistake 2: sales comp on volume alone inflates receivables and inventory.
• Mistake 3: quality-only production bonuses build up WIP inventory customers won't pay for.
• Mistake 4: receivables and payables are separate relationships — never mechanically link them.
• Current ratio = ST assets / ST liabilities; Quick ratio = (ST assets − inventory) / ST liabilities; both can be gamed in value-destructive ways.
• Mistake 6: benchmarking only within your industry breeds complacency.
• Root cause across all six mistakes: badly designed metrics/incentives, not bad luck.

Watch Out

Watch out: the source defines the current and quick ratios only in words (no algebraic notation given in the article); the formula box above is a direct, literal transcription of that wording, not an invented notation.

Watch out: this HBR article dates from May 2009, written in the context of the global financial crisis. The article itself distinguishes the hypothetical machine-tools case (Section 5.2, presented as a constructed scenario) from the other examples, which it reports as real cases. It does not state that all figures are illustrative or anonymized, so anonymization must not be presented as an established fact about every case. Read the reported magnitudes as directional evidence of magnitude rather than as audited benchmarks.